

*steady. But if the other income is derived selling any assets or land, be cautious since such income is not an annual occurrence.*

*§ Also check for the increase of all expenditure items viz. raw material consumption, manpower cost and manufacturing, administrative and selling expenses. See whether the increases in these costs are more than the increase in sales. If so, it reveals the operating conditions are not conducive to making profits. Similarly, check whether ratio of these costs to sales could be contained over the previous year. If so, then the company's operations are efficient.*

*§ Evaluate whether the company could make profit from its operations alone. For this you should calculate the profits of the company, after ignoring all other income except sales. If the profit so obtained is positive, the company is operationally profitable, which is a healthy sign.*

*§ Scrutinize the depreciation as well as interest for any abnormal*

*increase. The increase in depreciation is attributed to higher addition of fixed assets, which is good for long term operations of the company. High depreciation may suppress the net profits, but it's good for the cash flow. So instead of looking out for the net profits, check the cash profits and compare whether it has risen. High interest cost is always a cause of concern because the increased debt burden cannot be reduced in the short run.*

*§ Calculate the earnings per share and the various ratios. In case of half yearly results, multiply half yearly earnings per share by 2 to get approximately the annualized earnings per share*